SCORE CONTRACTS

SMALL BUSINESS MASTERY WEBINAR

HOW TO HACK THE GOVERNMENT VIA SMALL BUSINESS PROGRAMS

By Eric Coffie

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BY ERIC COFFIE

Hey, guys. Welcome. Eric Coffie here at ScoreContracts.com and you are participating in the Small Business Mastery Webinar. Thank you so much for joining me today where we're going to teach you how to hack the government via small business programs. This is about an hour and a half program. So make sure that you turn off all your devices. Put your phones on silent, grab you some water, juice, cookies, whatever it is that you need to go through the entire program. I want you to have all the things available. Make sure you get your paper and pen if you want to take notes, but again, this is a webinar, so you can always go back and snap photos of it via your computer or your phone, however you're watching. Or your iPad, nevertheless.

So thanks again for joining us today. We're excited to have you here and we know you're going to learn a lot of information. It's going to be a tremendous value for you and that's what I'm doing this for. Again, from the ScoreContracts team, thanks so much. Let's jump right in.

So who am I? My name is Eric Coffie. That picture's actually taken back in 2001. I was at the University of Florida and I did an internship with a company. The name is Nortel Networks and that picture was in North Carolina. We were in Raleigh, Durham. My friend Phil there, he works with IBM. So he hosted me at his house, like an exchange student. I grew up in Miami, Florida. Like I said, I went to the University of Florida in '96, I graduated 2001. During that time, I formed the Entrepreneur's Club.

Then I also formed a couple companies. My last company, just before I left the university was Novoris Technology. Then the second half of my career, I left Gainesville, moved down back to Miami, got into the real estate resales market as a realtor and then because of some situations that I didn't feel appreciated by my customers, I then transitioned to consulting as a contractor, helping people get government contracts. Then I went out on my own to be a full blown contractor doing my own projects as a subcontractor for primes, doing the same types of programs that I'm teaching today.

So moving forward, back when I was at the university days, that picture on the left hand side, was with then governor Jeb Bush. We were the ... Again, that was my partners, Edwin and Hamed and as you see, we're a diverse group, nevertheless, but that's what college does, right? It brings all types of people together. All three of us were engineers and we formed a company called E- Melodies and on the right hand side, you'll see we were in the University of Florida Business Planning Competition where we were the runners up for the competition and we were creating at that time software, apps, that ran on PDA devices, that's for you old school people out there. PDA devices, those were the precursors to the iPhones and the Galaxies. So they ran on PDA devices and they were helping health clubs actually manage their gym membership and then book and reschedule appointments for their personal trainers.

So that's a little bit back then, moving forward, like I said, around 2007, I got my contractor's license and then about four or five years in, after working as a consultant, I decided to go off on my own. I was reaching out to some people to determine a niche market for me to get into and an older gentleman told me about metal building steel buildings. So he taught me everything I know and within a year, I did my first contract, which is the one on the right hand side at the top right and that was the hangers, over at one of the military bases. It was F 16 hangers. I built, I believe, let me see. Let me go back and recount. I think it was 15 or 17. It was an odd number. So I think it was 17 bays, 66,000 square feet of buildings. The contract was 1.5 million and my purchase price for my manufacturer was 766,000 dollars, my first order.

Amazing, from that I got a million dollar line of credit. On the left hand side, that was a building that I built recently and it was the flight simulator building for the new refueling jets that refuel Air Force One and all the planes for our government. On the bottom right, that is the new model. It's going to be a benchmark for how they want to redesign and upgrade all the hospital facilities because, as you know, our infrastructure in the United States is crumbling. It's falling apart and so now they're trying to bring new life to it. Those panels that we're putting on there, those acoustical metal panels are the same types of panels that you would see in car dealerships, like Porsche and Audi dealerships. If you see those flashy panels, those are the same exact types of panels.

So what are we going to talk about today? Today, and I apologize in advance, I hear myself and I know I'm talking fast. I'm trying to slow down, but I apologize again in advance. So just bear with me. If I speak too fast, maybe you can slow it down when you're watching it on your device, but today's module is 13 modules that I've outlined for you guys. Module one, we're going to look at defining the government market, what do they buy and who buys it. Module two, we're going to look at the types of small business programs out there. I'm pretty certain that most people are familiar with these programs, but we're going to take a deep dive look into each individual program. Then I'm going to give you my perspective on some of the advantages and disadvantages of the different programs out there.

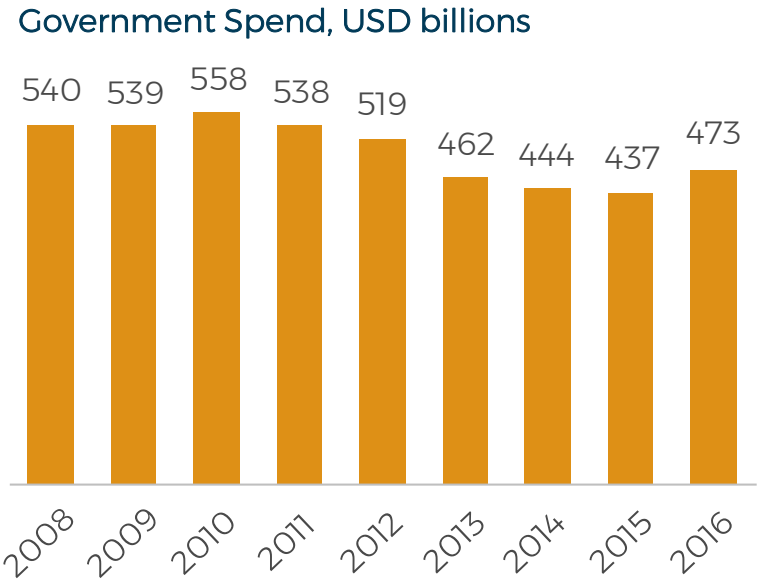
Then also, we're going to talk about ways in which you can use these programs to make money because that's what it's all about, right? There's no point in getting these certificates and being part of something and spending the money to invest in it and your time and doing these things not to be able to make any money. So more importantly, we're going to talk about how to use these programs to make money

Module five, we're going to talk about the veteran-owned small business and then service-disabled, veteran-owned business. Then six, seven, we're going to talk about 8a. I'm going to jump a little bit more in detail regarding the 8a program just because the 8a is really famous and everyone has heard of it before. Not everyone, but anyone who wants to get into the government marketplace, it's most of the time where all these consultants and third part providers are steering you towards that direction, but I can tell you from personal experience.

In fact, my first phone call I received this morning was from a guy with an 8a certification who had only done two contracts. So I can tell you that having the certifications alone is not good enough, but don't worry. By the time you get to the end of this, we'll show you how I generate money in these different programs and also how you can do the same. Module nine, we're going to talk about the seven step process to become 8a certified and then we're going to ask some questions about why people are not doing this. Some myths and truths about it and then I'm going to share some of the success stories that I personally experienced with friends and family members of mine

So what is the government market and what does it look like? Let's just talk about the overview of the government market, the size, where they buy, the stability of work, NAICS codes and the small business definition. The first thing I want to do is we want to talk about the size of the market. To do that, we'll go to USAspending.gov. Let me take off other financial assistance and loans and as you see here, let's start with contracts.

If you look at just on the contract side alone, on the contract side, you see here back in 2008, the government spent 540,000, 539 billion in '09, 558 in '10, 538, again, these are billions, in 2011. Then it went down just a little bit in '12 with a 519 here. 2013 462, 444, 437 and then we went back up to 473. So on average, the government's spending about 500 billion dollars in contracts. This graph, we can put is the actual amount of money that we're spending in grants, but what we're focused on today is just the actual contract side.



So that's an idea of what the size of the government market. So what kind of things does the government buy? Well, let's click over here and let's look at NAICS codes. If you're not familiar with the NAICS codes, they're the way that they define the types of products and services that people, vendors, suppliers, provide to the government. Here are just some of the general codes. If we drill down into say, construction, you'll see here new single family housing construction, multi-family construction, residential railroads, infrastructural building. I mean, there's all these different categories of construction. So no matter what you do, the government is more than likely to buy it.

Let's go into manufacturing. Look at this, dog and cat food, animal, flour milling and rice milling, wet corn, soybean. I mean, ice cream, condensed evaporated products. I mean, everything. Everything that you could think of. There's not a product or a service that someone provides that the government doesn't buy. They're no different than the private sector out there. They need everything to survive. They're supporting troops. They're supporting equipment. They have buildings. They have facilities. They're feeding people. They're refueling their vehicles. So they need everything out there

That gives you an idea of what they buy. Now, let's look at the private sector. The private sector, the reason why I'm showing this map, I just want to compare the actual. If you look at from '05 how the private sector goes up and down, both in manufacture and non-manufacturing, it takes a dip. '08. '09, it comes back up to ten and then it's more like a roller coaster ride. If we look at on the government side, you'll see a lot more consistency across the market, where like I said, the trend stayed around the 500 billion area. It dipped down just a little bit, but for the most part, it stayed consistent. On the right hand side, if you see the 2017, the reason why that's down is because obviously we're just midway through 2017. So they haven't gotten a chance to finish all the appropriations at this point

THE GOVERNMENT MARKET

Let's take a look now at some of the four clauses that govern small business. The FAR is the hand, guidebook or the bible for overseeing all of the way that the government buys stuff. So it's the federal acquisition regulations handguide. It's like the bible of what they buy. So this sets the rules, this sets the precedent. If you look at FAR 19 covered small business, it says here that they, "Set aside acquisitions, exclusively competitive participation by small business for 8a, HUBzone, service-disabled, women-owned business programs." How do they define a small business concern? It's an entity organized for profit. How do they establish the size for small businesses? It's based on the NAICs codes. Then how do they look at or view the relationship among the various programs? "There's no order of precedence among the 8a, HUBzone, women-owned or service- disabled programs."

So let's take a look and understand a little bit more about what do you mean, Eric, when you say, "Size standards? What does that mean?" So for the people who are familiar with this, this is just a refresher. For those of you guys who are not familiar, we're going to teach you some things. Just before we get there, let's take a look at when they say there's what they call simplified acquisitions procedures and you may hear that terminology used out there, SAP. This is the FAR clause that talks about what this means and how it relates. It's 19.230b and it says, "For acquisitions of supplies and services that have anticipated dollar value exceeding 3,500 up to 150,000, but not exceeding 150. The simplified acquisition threshold requirement is to exclusively." Exclusively, listen to that word. "Exclusively reserve acquisitions for small business concerns that does no preclude 8a, HUBzone, service-disabled and women-owned."

THE GOVERNMENT MARKET

What does that mean? That means that every contract under 150,000 must exclusively be awarded to a small business. The last statistic that I had, that I looked at, that number, that number of contracts under the 150 threshold, they spent last year, 26 billion dollars. Now, what are size standards? When you're defining small businesses, the government uses the metrics size standards. Size standards means that you choose your NAICS code, 236115. I just chose this NAICS code arbitrarily. The size standard is 36.5 million. What does that mean? It means that over a three year average, your company cannot exceed 36 million dollars over a three year window. If you do 40 million and 20 million, the average of 40 and 20 is 60 divided into, that's 30 million. I know it's two years, but just for simple math purposes, for all my non-math geniuses out there, I know you'll appreciate this.

That's the intent. If you take and add up the three years, no matter if you went high one year and low another year, as long as the cumulative average does not exceed 36.5, you're still considered a small business. So you can technically do 100 million dollars in a three year window and still be considered a small business. If we looked down at the code for roofing contractors, that cap if 15 million. So that's a 45 million over a three year window. Then if we look in manufacturing, the cap is based on the number of employees. So again, your 500 employees is your maximum capacity before you become designated a large business.

SMALL BUSINESS PROGRAMS

Module two, let's start talking about what are some of the small business programs. You have an idea already of what the government buys, who they are. You know that the rules are governing small business. So what are these programs and how do they work? We're going to go through. We're going to talk about small disadvantaged business, women-owned business, service-disabled business and it looks like I made a mistake and I put it twice, but then we're going to go to the HUBzone and then the 8a program.

The government has set aside goals that they are encouraging agencies, federal agencies to participate in helping to utilize these various vehicles, these small business programs. The target goal for each agency respectively is 23%. Now, within that target of 23%, these are some of the minimum standards that they'd like to achieve within each different program. So within the 23%, they like to achieve a minimum of 5% with small disadvantaged businesses, 5% with women-owned small businesses and that includes economically disadvantaged women-owned small businesses. 3% with veterans, 3% with HUBzone and then 5% within the 8a Business Development Program. I know the numbers don't add up, but again, these are goals. It's not designed that they have to spend exactly that dollar amount. It's just a target goal that they need to reach. For every dollar, they want to spend 23 cents to whatever respective small business. Make sense?

So how's that break down? I'm a visual person. So I like to show images. For me, I look at it as a slice of bread. If we're talking about average of 500 billion dollars a year in contracts, what does that look like to me? Well, 5% of that is 25 billion dollars, okay? Exciting, right? Good stuff. So now we're like, "Okay, Eric, we know. We see it. We've heard it before. All the money out there, it's flowing around, right? So how do we get access to it? You're telling us about these programs. How much does it cost? How much does it cost to register? What are some of the qualifications? Then tell me more about how do I get involved in each one of these perspective programs."

SMALL BUSINESS PROGRAMS

Fortunately, in the process of putting this together, this presentation, the government came up with this new little handy, dandy tool at certify.sba.gov/I-am-eligible. By the way, I'll have all the links and everything below. I'll have a supplemental guide that goes along with this, but if you go on certify.sba.gov/am-I-eligible, right here at the bottom, it talks about your business and asks you some questions.

So the first question is, "Are the qualifying individuals of the firm who are applying, are they US citizens?" Click yes. Then it takes you to the next question. "Do you own 51% of the firm unconditionally and direct?" Yes. Then you can go through here. "Are you a for-profit?" Just keep clicking and then at the end, and I've never done all the way to the end, but at the end, I'm sure they'll start recommending which one of the various programs will fit the criteria or show if you are eligible or even potentially eligible for any one of these three respective programs.

Alright, so that's a handy dandy tool that you guys can use. I think sure when they released it, but I learned about it recently and I think it's really good for helping people. I'm sure they're bombarded and overwhelmed with the amount of people asking the same question over and over again. I know we don't like to read because all this information, you can find on the SBA website, but it's okay. I don't mind going through and explaining it because I know a lot of times it can be confusing, especially if you're just getting started out here. I know when I first got started, I was way, way, way.

This stuff was way over my head and I was overwhelmed. So I know that these videos and tutorials, things like that, help people explain better and I'm going to try my best to go through step-by-step exactly how each one of these programs were and how they get certified.

WOMEN OWNED SMALL BUSINESS PROGRAMS

So for the women--owned small business program or the economically disadvantaged women-owned small program, you have to do your own application at certify.sba.gov. You much have 51% ownership by a woman. Your gross income average over a three year window must be less than 350,000.

Again, that's basically stating that you can't have made a million dollars in the last three years. Fair market value of all your assets, 6 million or less. Personal net worth is less than 750,000. That excludes your ownership in your business and your primary residence. It also excludes any funds you have reinvested in the IRA or other retirement accounts. The woman must manage day-to-day operations. The woman must make long term decisions. The woman must hold the highest position in the office and must work at the business full-time. However, the good thing is that there's no minimum time for the business to be operational. That's not a criteria.

So what are some of the benefits of participating in the Women-Owned Small Business program? Well, for me, the primary benefit is that you don't have to wait two years minimum in order to qualify. So if you decide as a woman to incorporate today or tomorrow, you get your EIN number. You go through, you get your DUNS, you register in SAM and then you can actually apply to become a Women-Owned Small Business program. The other benefit to me is your gender is your qualification. I'm a man. I can't qualify. That's an advantage. The third benefit that I see is that it's still a new program out there. So being that it's a new program, it's **not as competitive.**

WOMEN OWNED SMALL BUSINESS PROGRAMS

Some of the disadvantages are the same thing in the new program. It's a **gift and a curse.** It is a new program out there. It's not as competitive, but also the contracting office of representatives are not all familiar or up to speed on how to source contracts to women-owned small businesses. The other thing is there's a limited amount of NAICS codes that are qualified or eligible to participate in this program. It's not the same as the other programs where it's wide open, every NAICS code can participate. The Women-Owned Small Business programs have only certain NAICS codes that can participate in the program.

Then the other disadvantage is the woman must be a full-time employee in the business. That can be prohibitive to a lot of people who are just getting started. I know a lot of times, if you don't have resources, you have to have a job and if you have a job, that may preclude you from participating in this program because what they're going to do is they're going to look at your tax returns.

The government's going to determine whether or not you make more money from your business than you do from your actual job and that's one way that they're going to weed you out, but again, if you have any questions about any stuff, I have a team of people standing by and they can help answer these questions. We can go through and talk in more detail later on in the program.

So what are the **five steps** to becoming a women-owned small business? One is determining your **eligibility**, **register your DUNS**, **register in SAM**, **gather your supporting documents** and then go through and do your **online application at certify.sba.gov.** Here's what it looks like. Simply you log in. You sign in with your username and password. Then you start the process.

HUBZONE PROGRAM

HUBzone, what are some of the criteria, benefits, advantages, and disadvantages of HUBzone? The HUBzone program, you must be a small business for your primary NAICS code. You must maintain a **principal office within a HUBzone** and then you must also **ensure that 35% of your** employees reside in HUBzone. So the two main criteria for HUBzone **are principal office** and the **35% of all your employees**. Then there's some ownership and control requirements that you must meet such as the owner must own and control 51% as a US citizen. Or the wholly owned or owned in part by one or more Indian Tribal Governments, or a corporation that's wholly owned by one or more Indo Tribal governments and or owned by a CDC, community development corporation, or a small agricultural cooperative, a small business concern by a party or one or more small agricultural cooperative.

This is the **only** certification that can be **owned by another entity** other than an actual person. This is the only one that permits that. So that's one of the benefits to having a HUBzone certificate. The full-time rule doesn't apply, meaning that you as the owner don't have to be full-time working in the business and then your business location's your qualifier. Not the actual revenue or sales of the business or the gender.

Then 35% employee rule, to me, that's an advantage because if you have, and I know this because I've done it before. If you have companies that are smaller, which I'm sure 90% of you guys out here are smaller, you'd probably would fall somewhere less than ten employee range, then only three people in the company, if you have nine employees, three people would be 30%. So you have to have four, but if you have three employees, in a company and one fall in the HUBzone, you as the owner could be the other HUBzone person. That would put you beyond the 35% rule.

HUBZONE PROGRAM

So I like that for smaller companies. For larger firms, it's much harder to achieve obviously if you have a staff of 50 people. To have 35% to the HUBzone would be extremely difficult, but I see this as an advantage to smaller firms because there are HUBzones all around and what we'll do, we'll take a look at the HUBzone map. I'll show you in a second here and you can see that HUBzones are, there are a lot of places where there are HUBzones at. So there's some flexibility in that area.

Disadvantages, the FAR rules might not be understood by many. HUBzone is still a relatively new program. I mean, it's not new in terms of when it was conceived. It's only been enforced or been in practice for the last, I'd say eight years regularly, consistently. You do need substantial paperwork in terms of your payrolls and your business tax returns. So it is very cumbersome in terms of the requirements. What they're asking for is much more paperwork than let's say the women-owned business that they ask for.

What are the **six steps** to becoming HUBzone? Verify the business and employee **HUBzone map** and like I said, let me just go ahead and show you what that looks like. Here is the SBA's website where it takes you to the HUBzone map. You can put in address here and your city and state and then you could look or you can actually find qualified counties, like they said. Let's look at, I'm not going to look at Florida. I'm going to look at Georgia. I live in Florida, but let's look at Georgia and let's look at the HUBzone map here. Let's click on find qualified counties and here you are. Decatur, Seminole, Thomas and here's a list of qualified counties. So the government, they're not your enemies. They're trying to make it easy for you to understand this information and also qualify and figure out how you can become eligible.

HUBZONE PROGRAM

Alright, so you find out if your employees in your business is in the HUBzone maps. Sign up for your DUNS, register in SAM, gather your supporting documents and then your online application at certify.sba.gov. Always your documentation, you're going to go to reference.certify.sba.gov and you can click on HUBzone checklist and here's a list of all the items that you have to have. The same thing applies for 8a, women-owned business as well. The only one that's not listed in here is the veteran-owned business and that's at vetbiz, but when we get to veteran-owned business, we'll discuss that.

VETERAN-OWNED BUSINESSES

Alright, so now let's talk about veteran-owned businesses. Service-disabled, veteran-owned small business concern. The service-disabled veteran must own 51% of the company. He must have a service connected disability that has been determined by the Department of Veteran Affairs, DOD. If you are a service- disabled veteran, I'm sure you know what that looks like, what that form is. I think it's your DD14, one of those types of forms. You must be the highest officer in the company, maintaining control of management and daily operations.

So the veteran actually, let me just take a step back, the veteran, if you're a disabled veteran and you own the company, I mean, you pretty much are eligible for this certificate. So what are some of the benefits?

Well, the Rule of Two. The rule of two is a case, a trial that happened with a company called Kingdomwear where essentially they were participating in some of the contracts with the veteran-owned hospitals and they protested. They challenged, they went to court and they won. What it means in a nutshell, the simple version is that if there are two or more veteran companies that are qualified to bid a project at the VA Hospital, that the Veteran Administration Hospital should set that contract aside for **veterans exclusively**.

So that, for me, can get you to benefit number two, where the VA Hospital is pretty much almost exclusively, veteran-owned small business programs. So over and above the 3% that they give you, with all the agencies, the VA Hospital's pretty much if there are two companies out there that can perform this project, then by the rule of two ruling for Kingdomwear, they have to give it to you. For more information or questions on that, go to ScoreContracts.com/resources. I also have it in my blog, where I talk about Kingdomwear and how that affects people. Then the other thing is that VA can also do **sole source and set aside contracts**.

VETERAN-OWNED BUSINESSES

Some of the disadvantages, what I've seen with the veteran-owned small business program and I'm sure anybody who's a veteran probably is aware of this. They're very slow. So there's a high wait time to qualify and then the other thing is that it's a common certification that's easily obtainable.

So there's probably right now, the last time I checked, somewhere in the neighborhood of 10,000 plus service-disabled veterans or veteran-owned small businesses out there that are certified and when you look at 8a on comparison, that number is around 7,000 on average. So you've got 10,000 people and right now, the pot, you're looking at 3% of the money. So 3% and there's 10,000 firms versus 8a, 5% of the pot and then 7,000 firms.

This is an example of what I mean by the high wait time. I went online. I went to vip.vetbiz.gov. I tried to register my email and it says my account is still under review. I mean, this has already been probably a few weeks ago that I did this and I can't even log in. Most other websites that the government has, the majority of them, you set up your username and password. You confirm your email and that's it, you're registered in and then on the home page, this is hilarious. It's not hilarious if you're trying to get it, but it's just another hassle for everyone else. It shows you how in some parts of the government, we're not as efficient as we are in other parts of the government.

VETERAN-OWNED BUSINESSES

This is a clear example of that. "Current application processing time is 90 days from the date of account creation." Well, if they won't even let me long in and get a user name and password, at that time with the 90 days and that's only to process your application. That doesn't mean you're going to get it back or request it. From what I understand, the real number is somewhere to the neighborhood of a year. I can't confirm or deny it, but what I've heard from talking with people here locally in the Miami Veteran Administrative Hospital is that it's somewhere into the neighborhood of a year. The only way that I know **of that** you can get around that wait time is by having a project that you're potentially going to be awarded. Then they can do an **expedited application.**

That's probably far, few, and between for most of us out here because if you're just getting started, how are you going to have a project that they want to give you? You don't even know how to get a project, right? That's the point of being on today's webinar.

Look at the bottom of the page. You see where it says, "Total verified?" 10,699. Like I said, that's one of the disadvantages of becoming a veteran. So how do we contain our veteran-owned certificate? Again, same thing, obtain your DUNS and your SAM. Gather your documents. Register in vip.vetbiz.com. Submit your documents and then followup and follow through

MACK DADDY OF PROGRAMS – 8A

The last certification out of the group that we're talking about today is small disadvantaged business. This is probably the easiest one that any and all of you guys, not all. I can't say all for anything, but 99% of firms out there qualify for this. There's no application required. You just register in SAM. However, you must be socially and economically disadvantaged and that disadvantaged person must own 51% of the firm and then you must be small according to size standards. So if you're small according to size standards and as long as some wealthy person doesn't own your company, then you'll be fine.

Now let's talk about the mack daddy of programs. The number one small business program in the world that I believe is 8a and yes, I know, everyone talks about 8a being the best program, but in my opinion, this is where I've see the most understood, the most flexible and it has the most bells and whistles to allow small guys to start from zero and then to ramp up to whatever size company they want to build. So just on the requirement side, online application, GLS, 51% owned by an American citizen. Must own, majority owned 51% by economic and the socially disadvantaged person. That's a little distinction difference between the 8a business development and then there's the standard, small, disadvantaged business. If you see there, there other one was 51% owned by the economically disadvantaged. This is by both. The individual must be the controlling and managing firm. You must also demonstrate a potential for success.

So they're going to look at what you're doing out there. They want to know that you're out there working in contracts and that you're growing a business. They're not going to want to see that you had one year of success and two years of failure. So all the people out here trying to manipulate their tax returns, that's going to be a problem when applying for the 8a program.

MACK DADDY OF PROGRAMS – 8A

What does socially disadvantaged look like? There's two categories, what's called **presumed groups** and then there's **other groups**. If you're one of the presumed groups, Black, Hispanic, Native, Asian Pacific, Subcontinent Asian Americans, you automatically are socially disadvantaged. If you are non-one of the presumed groups, then if you can demonstrate that there's a negative impact on your entrance into the business world or you can establish some sort of distinguishing feature such as a physical handicap, that would qualify you as socially disadvantaged.

Under economically disadvantaged, there's three criteria, gross income, fair market value of your assets and then personal net worth. Your gross income, the average cannot be greater than $250,000. The fair market value of all your assess much be less than four million and then your personal net worth must be less than $250,000. Looking at the process, again, uploading documents to sba.gov. 51% ownership by the owner of the controlling firm.

So the 8a program on its own, receiving 5% of all the federal contracts. We're looking at 25 billion dollars. So what are some of the advantages/disadvantages of the 8a program? The first advantage of the program is your ability to be able to sole source. That means that the government can call you when they have a project and they'll negotiate directly with you without ever putting it on the open market. You're saying to myself, well, how often does that happen? A lot. Forty-Five Percent of all contracts that are awarded by our United States government are one or no bidders. 45%. So that 45% of 500 billion dollars is one or no-bidders. This is one of many various ways that they're using to do this, okay?

MACK DADDY OF PROGRAMS – 8A

Only certification nicknamed, **"Licensed to Steel."** What does that mean? That means that the 8a program. Now, for the Native American Indians, it's a little bit different than it is for just the regular 8a program participants. They have some specialized rules that allows the government to sole source, like we told you and also to set aside contracts that are beyond the normal thresholds. In essence, the government has created an avenue and a vehicle to really pretty much **give out contracts as quickly and efficiently** as possible without having to jump through a lot of hoops, hurdles, and explain a lot of things to other people. So they don't have to put it out, they don't have to give public notice, it doesn't have to go through the standard processing time to wait for someone to respond, to bid, to come through a, a site visit.

In my opinion, it's a very efficient way of having to spend the type of funds that they spend every year and also do it in a manner where they protect the United States citizens. They're being responsible for the taxpayers and the government. So we call it 'License to Steel' because if they need to have a project that's 10 million dollars, they can just give it to you. We'll talk about that later on, but yeah, it's nicknamed **License to Steel.**

HISTORY OF THE 8A PROGRAM

Its history. The history of the 8a program is the longest running small business certificate program governed by the FAR more so than HUBzone, service- disabled and women-owned small business. Women-owned small business, it has history, but it's only been within the last five years where there's really put any teeth behind it. Same thing with the HUBzone program. The HUBzone program, it's been around forever, but no one's ever really enforced it or used it or it wasn't as widely known amongst contributing officers and agents. Then the service-disabled program, when I would start doing government contracts back in 2007, it was fraught with so much fraud, so much waste and so much abuse and so many companies that were front companies for larger entities that it wasn't really benefiting the people who were veterans and the people who were supposed to be receiving the benefits from.

Set aside. Yes, you can set aside contracts in any one of those categories, but when I go in and I'm talking to agent contract officers, contracting officer representatives, which are more than likely what you're going to be dealing with, they're all more familiar with the guidelines for the 8a program. So if you've got a person who's been in the government marketplace for a long time, that agent or that contract officer representative, they're going to know the rules of the 8a. They may be learning or familiarizing themselves with the needs of these new programs out there, but they already know and have worked with and are experienced with doing the 8a program.

TEAMING ARRANGEMENTS & JOINT VENTURES.

The other thing that we're going to talk about is teaming arrangements and joint ventures. Teaming arrangements and joint ventures allows you to partner together to go after specific projects. The joint venture is the same thing as a teaming arrangement, except the joint venture is a formalized program that's governed by the SBA and it allows two companies to work together to attempt to secure a much larger or significant product that they couldn't do individually on their own.

Now you would say to yourself, well, why is that an advantage to the 8a? Well, the 8a program has a formal JV program in place that is overseen by the SBA. It also has what's called a mentor protege program in place that when coupled together with a joint venture, it allows you, the small guy to partner with a big company and then that big company helps you achieve or pursue a much larger contract than you could do on your own. I have an exclusive video on that.

Now, what I learned recently, prior to this webinar was that the government came out with a program. It's called the All Small Mentor Protege program that they use that now applies across the board to women-owned, service-disabled and also the HUBzone program. It applies to those same categories and it was modeled off of the joint venture program by the 8a. So that's a testament to how successful this program was in the 8a where small companies could work with big companies and pursue much larger contracts, that they actually used that as a template to create a new mentor protege program for these other certifications out there, but prior to that, the 8a was the only people that had this.

I know a lot of companies that they went from 100,000 a year, 200,000 a year, 300,000 a year. They partnered with a company doing 30, 40 million and now they're pursuing contracts that are 10, 15 and 20 million dollars respectively. That's one of the ways you can basically bypass the slow growth mode and go straight to rocketship growth.

TEAMING ARRANGEMENTS & JOINT VENTURES.

Now, what are some of the disadvantages of the program? Well, because there's so many advantages and it's such a strong program, there are very stringent requirements. So since there are very stringent requirements, what you'll find is a lot of consultants and people out there, third party vendors wanting to help you to become certified in this 8a program.

The other thing is, and by the way, on that note, I'm not saying that it's not worth the value to particularly pay someone to do it or not, but what I'm saying is that it shows you that it's not as easy and it's not as straightforward as some of these other programs out there. So it's a lot harder. It's a lot more paperwork. In fact, when I put together my application, it was probably somewhere to the neighborhood of 350 pages. Let me tell you, it gets rejected, oof. So much. I mean, they're constantly rejecting. They want you to update this, put that in. So that for a lot of people, it could become very frustrating, very annoying.

The other disadvantage that I have from personal experience that I've seen is there's already these large Alaskan Native and tribal firms out there that are monster companies. I mean, they're monstrous. In fact, the companies that I work for are Alaskan Native, Indian companies and they do 150 to 200 million a year and in all their sister companies and brother companies do the same thing, 100+ million a year. Their parent company does two billion dollars a year. All of this is using the 8a program. So we're talking about these people already have a foothold in the market and that makes it really tough for anyone coming in to try and unseat the incumbent, but don't worry, I'll show you how to do it in a minute.

ABOUT US

So let's talk about my story here. Let's get at my story. How in a three year period I went from zero to 6 million dollars in revenue. I first started as a consultant in a teaming arrangement, joint venture, mentor protege, sole source and incumbent. Some fun facts. When I first got started, I had no experience in construction. Remember, you saw my story. I was an engineer in college. I left. I started a company doing software technology. My partner went crazy. I walked away from that company, came back to Miami and within six to eight months, I got into real estate. I did very well in real estate. I felt unappreciated. So I walked away. I didn't walk away, but I decided I want to get into an area where I felt people would appreciate me more.

So I got my contractors' license. Unfortunately the real estate market crashed at the time. So the person who helped me get my contractors license, fortunate enough, he was the person that told me about federal contracts, but I had no experience in construction prior to becoming a licensed contractor. Never had done construction in my life. No experience in federal contracts either. Again, the guy who helped me get my construction license also was the one who told me about federal contracting. Then I had no prior history with the client. So I never had made any sales. I had never worked on military bases or for the government. It wasn't like I had a relationship. I didn't have a cousin that worked there or a friend or anyone like that. I didn't know anyone.

Some other facts about when I started is I did have prior experience in sales. I had a ton of determination and I was hungry to learn, because again, like I said, I came from a very successful real estate career where I was doing probably bringing somewhere between 180 and 200,000 dollars a year, personally to now wanting to transition into something where the market had crashed and I was out there looking at how I was going to get by and make it.

ABOUT US

Light bulb moment came, like I said, my first partner was the one who helped me get my contractor's license. He was the owner of a successful small business and he told me about the potential of the federal contracts in the 8a program. I saw that as a huge opportunity because no one in the company knew about federal procurement. He had never done any government contracts under any of these types of programs and I was also a newly licensed contractor looking for an opportunity to cash in or work in some area after the housing crash because no one was building anymore. There was no construction going on. So I was trying to figure out what could I do and how could I make it.

Personal development, once he told me about the size of the market and what the opportunity was, I just basically honed down. I went to every workshop, every seminar, every class, every course. I went on any webinar that I could find. I read all the books I could. In fact, I learned everything I could possibly get my hands on. It's so funny because I remember a time where the SBA put on this what they call a 7J training. A 7J training is for 8a companies and firms and you send normally you'd send your secretaries and stuff there.

Sometimes the owners go, but I remember attending a 7J training and they were asking questions about some of the acronyms because the government likes to use a lot of acronyms.

Now, remember answering the questions and the teacher, the professor said to me, he said, "Man." He goes, "It seems like you already know this stuff." I go, "Well, I read it already." So the stuff that they were teaching in the Seven J training, I had already absorbed and read all of that information and what I was looking for was how do I make money and no one taught that. So only thing he taught was about how to do a contract, how to fill out the paperwork, but no one taught you how to make any money. So what happened? Where's my big break come?

ABOUT US

So there was a contract that came up on the military base that we learned about and at the time, we had just been, not we, but I say we because we were working together, but at the time, the company that I was working with had just received their 8a certification. We had not done a contract as an 8a company, but in talking with the people at the military base that was close by where we lived, we learned that there was a potential contract coming up for HUBzone and it was set aside for HUBzone and that we could participate in it. So what did I do? So I decided that I would find a HUBzone company that was not doing government contracts and then talk to them about working together to pursue this opportunity.

Mind you, what I did have in my advantage was I knew about the project. I knew when it was coming out and I put together all the numbers. I had all the teams, we had everything in place to execute and perform on the contract. So I brought tremendous value to the relationship. What we did, I went on **Dynamic Small Business Search. I searched for HUBzone firms.** I found a few HUBzone firms and then I cross referenced them to see if they had actually won any government contracts.

Fortunately for me, I found a few. We had a couple calls from one guy and I didn't like how he sounded and so I just basically, we severed ties with him. The second guy, he was more positive and he said whatever we needed he would help. Then we got that contract. We were rewarded that contract.

What did that do for us? Well, it did a bunch of things for us and that's what you see on the right hand side. One is, it helped up to build experience working on the government base. We were technically the subcontractors even though we got the contract and put the whole thing together. On paper, we were the subcontractor, but the reality was we were the ones that were delivering the value. We were the ones that were making the relationships. We were the ones that were building our experience and then learning at the same time.

ABOUT US

So the people at the base, they knew us. So by the time, like I said, when we had our certification, then we were able to leverage those relationships and we would approach the same entity, the same people. They already knew who we were and we already had an established track record because we worked as a subcontractor under the other firm. Then we understood all the forms and documentation, everything. So we learned that through working as a subcontractor under someone else's name.

What then happens? So now learn, leverage, repeat. So we took that experience. We started getting small contracts of our own and then what we did was from that, we leveraged those relationships. We started expanding to other agencies. We started expanding our scope of services to other types of projects and then we started generating revenue so we could build our team and hire superintendents, project managers and start growing the business

So what happens? You think now you relax? No, not even close. Actually, what's happening is you're more just juggling and figuring things out, but in the meanwhile, you're making money at the same time. You're building your teams. You're working with different agencies and you're learning everyone's personalities. So we were just juggling and figuring this all out, but at the end of the day, what we accomplished was remarkable. Success yielded more success. We ended up doing a project where we netted $300,000 in profit and then one of our larger projects, we ended up doing was at $1.5 million, which we net about $220,000 at the end of the day.

So that's how I went from zero to six million in revenues and we made over a million dollars in profit and it was extremely successful. The team worked out great, but I wanted a little bit more for myself. So I ended up leaving, off working on my own and getting into the contract market, but let's talk about so nine easy steps to get started in becoming an 8a contractor.

STEPS TO FOLLOW

1. Determine your eligibility, register your DUNS, your NAICS code, register your SAM. We've been talking a lot about your DUNS registration, your NAICS code, determining eligibility and registering your SAM. Those are the same three steps that are required for any one of these certifications. If you hadn't done so already, make sure you go to YouTube.com, type in ScoreContracts. I already have videos already now in place that talk about these various things. So if you did not find me through YouTube and you found me through some other means, go back to YouTube and watch my videos on how to do this stuff. There's no reason to try and reinvent the wheel.

2. DUNS registration, like I said, I have a video already on YouTube with over several hundred views that talks about DUNS registration. Watch the video

3. NAICS code. Guess what guys? I have a video on NAICS code. In fact, this video says how choosing the wrong NAICS code can cost you millions of dollars. Remember what I showed you in the beginning where we talked about what are the size standard tables. The size standard tables, if you choose the wrong one, remember, one was 36.5 million. The other one was 15 million. You could be potentially limiting yourself from 45 to 50 million dollars in opportunity and be ousted from the program. Assuming that you achieve extraordinary success, right?

4. Register in SAM.gov. I have a three part series on registering SAM.gov. It's three videos, okay? So watch those videos. What the three part series on registering SAM.gov. It'll walk you through the steps. Again, if you need help, we're here to help you. I'm here to support you. We're going to have some additional resources below that we're going to talk about towards the end of the webinar. So stay. Don't go away. Don't click off. We're going to have some resources. I mean, I do want to help you.

STEPS TO FOLLOW

5 Gather your supporting documents, GLS, submit your certify.sba.gov, follow through and write a business plan. So we already know what the eligibility criteria are, right? Again, if we don't know, just as a reminder, certify.gov/am-I-eligible? It'll walk you through the process.

I know for some people, time it more important than money. So we want to make sure that everyone has the information or has access to this stuff. So we will be offering some paid services to help you with these things, but for those who have the time and the ability to do it, got through, watch the videos, and see if you can actually register yourself in SAM.gov.

Supporting documents, referring to the 8a checklist, I have on my website ScoreContracts.com/resources. You see there's an 8a checklist. You can just click. Go to my website, click on it, download it. It's a PDF document. You can print it out and just go through and start checking the boxes to see if you qualify and/or to gather the documents that you need before applying.

6 GLS login. Let me show you want that looks like. So here's my GLS login. My username and password when you log in, it shows you here the 8a small disadvantaged business program. [inaudible 00:51:18] I don't know all these words before. Then you'll just see really quickly what it looks like once you have submitted the documentation and information, you'll see right there what it looks like in the GLS form.

STEPS TO FOLLOW

7 Step seven, certify.sba.gov. Let's click on it. I'm going to walk you through and I wanted you guys to see what this stuff looks like. I want you to understand it. I want you to not be confused. I want you to have seen it before. A lot of people are afraid to show you what the inside of these things look like and if you're not already registered or certified or qualified or eligible, you may not have access to this information. So I'm going to log in with my username and my passwords and let you see what the inside looks like and in that way, it might help you become more confident in getting yourself registered. Okay?

This is inside certify.sba.gov. It shows you my business and all my information. Then you upload your documents and you go from there. I'm going to show you if you click on programs, right now I have uploaded my 8a document and you see there my certificate, creation date and then what I could do, if I wanted to, I could potentially join a new program. All small mentor protege program. Okay, it tells you the requirements of the program and then you click here and you click start new application. That's how certify.sba.gov works.

STEPS TO FOLLOW

Alright, now one of the main things is following up and following through. Let me show you some examples of what I mean. Here, my first application, this is actually my second attempt at this, but the first application that I resubmitted back in 2017, they came back with all these things that I needed to do, right? "You did not submit a copy of your original and current version of your Articles of Organization. You did not submit your operating agreement or your certificate of good standing." I mean, this is standard stuff that I submitted to these people.

What I found from experience and talking with people at the small business office is that a lot of times that what's happening is they're swamped. They have a lot of applications. They have a lot of work or I would say it's not enough people for the volume of work that's coming in. You can understand that. I mean, we all have worked at jobs before. If you don't currently work at a job and you know sometimes where they give you a ton of paperwork. So what I've seen is that they automatically reject everyone in the beginning. Without even going through all their information, all the documents, they automatically reject you and it's to deter you from applying right away and that buys them more time to work on some other things that they're working on, other applications or other people that came beforehand.

I think it's a pretty successful process because if they reject you and they give you all these comments. Look at all this stuff they write. This is standard stuff. They could basically copy and paste this and send it back to everyone because I know that for example number six was in there. Number one, two, three, four. Numbers one, two and three were there. It talked about some other things that were in there. So there's six items on here that I know were already included.

STEPS TO FOLLOW

So what I did was I took these items and I created a separate PDF document for each item and then I resubmitted that information. Number eight is really interesting. That talks about the two year waiver rule and the 8a program, if you have been a business for less than two years, you can apply for a waiver. What happens here is if you look there, it says, "A two year waiver rule may be granted, however, you must address each element of the two year waiver, provide context, letters of reference. Invoices, proof of payment and all these things."

SHOWING CONTROL OR POTENTIAL CONTROL

The first time I submitted my application, my NAICS code on my tax return, my SAM.gov and my GLS were all different. So the SBA 8a person who was looking at my files suggested that I make them all consistent. Well, on my tax returns, I started making them consistent. So then, fast forward, this other person who's now reviewing my file says, "Well, it looks like your tax returns, your NAICS code has changed from 2014 to 2015 to 2016." This is something that they told me to do.

They told me to make it consistent. I made it consistent and now I fall into a category where they're trying to say that I **need a two year waiver** because I'm technically a new business as per my NAICS code and my tax return.

So I say this to tell you guys as an example of these are the types of hoops and hurdles that they take you through in the application process. This is just one example of where they're taking you through a bunch of changes that may or may not be required. That's when I say it's the requirements are very stringent, but nevertheless, I was able to get bypasses by having my accountant provide a statement explaining the discrepancies. So I bypassed that. I resubmitted back in June 20th. They came back on June 29th. Found some more deficiencies.

Initial block, personal history, some other forms, provide breakdown for my company sales and some other things.

I went ahead and resubmitted that back to them. So now we're waiting to see where we stand in terms of that application. If I am successful or if you are successful in getting the 8a, the final step would be to write a business plan. That's pretty standard. Again, we can help you with writing business plans here. We don't want to turn people away and we don't want you going out paying someone else to do these other services that we can provide for you here at ScoreContracts.com.

SHOWING CONTROL OR POTENTIAL CONTROL

Now, let's look at what are some of the ten reasons why your applications are rejected or returned. This I pulled directly from the SBA's official YouTube video and I could add the link below so you guys can see it. One of the reasons

1. Not submitting supporting documents, not providing corporate information
2. Submitting incomplete tax returns
3. Not submitting business financial statements
4. Submitting financial statements that are unreliable and not devoting full-time hours.
5. We explain to you guys about the full-time hours thing earlier.
6. Again, they're going to look at your tax returns and see if your job is you're making 70,000 a year and your business, you're making 10,000 a year, how are you going to explain that you're devoting full-time to your business and not your job?
7. Not submitting evidence to prove social disadvantage.
8. Showing control or potential control, apparent obvious front. Let me talk about that for a little bit really briefly. If you have the intention of trying to mislead the government and create a front business, I would tell you not to do it. I mean, I know criminals will be criminals and thieves are thieves, but I would warn you and preclude you from not doing that because there's so many ways that there are to make money in government contracting, even if you don't have one of these certifications. There's so many other avenues that you can take that it's not worth having yourself disbarred from the federal arena before you even get started.

SHOWING CONTROL OR POTENTIAL CONTROL

9. So I would say if that is your intention, please don't do it because I'll show you towards the end of the video, of the webinar, how you can actually generate money without having these certifications. I mean, I personally, I've never been certified in any of the programs and I've done millions and millions of dollars in business and I'm still doing millions of dollars in business even as we speak on this webinar today and I don't have any of these certifications.

10. Not having satisfied federal tax obligation. If you have not satisfied your federal tax obligations, one easy way to get around that is by simply working out a payment arrangement and the payment plan will be sufficient enough to meet that requirement. So there's no reason for you to be in that situation.

SHOWING CONTROL OR POTENTIAL CONTROL

So Eric, let me ask you this, if it's so lucrative, it's so glamorous, right? Then why isn't everyone doing it? You're telling me this is so great, generates so much money. So what's going on? Well, I like Jim Rohn. He's one of my mentors and he says, "What's easy to do, is also easy not to do." 5% of people are going to actually take action. I will spend an hour, hour and a half on this webinar today and probably about 5% of you guys are going to actually do something about it. So I can't help that. We don't know why certain people take action and why others don't. We don't know why certain people buy the books, move forward, start making a plan, going out and doing the things they need to do. It's the discipline to achieve the results they're looking to see. I can't explain that, but I just know that that's the way it is.

- **Lack of knowledge:** People think working for the government is just really hard and that it takes a long time to get paid. What I found from my experiences is that people are listening to other people who are not in this marketplace or they're listening to someone who maybe has been certified or is certified and is not actually working the system.

- **It's not a handout program:** You have to work the system. We'll teach you how to do that, but getting certified is not enough. You're not guaranteed any contract. So people think, well, they're looking for handouts and there's no handouts that exist. The other thing is that people tell me, "Oh, this is for minorities." It's not true. This is not for minorities. That's such a ridiculous statement. The program is race neutral and gender neutral. The only program that's not gender neutral is women-owned small business, right? But it's definition. Women-owned small business. This is not any type of entitlement program. This is not like welfare or food stamps of any of that kind of stuff.

SHOWING CONTROL OR POTENTIAL CONTROL

This is contracting. You actually have to perform. You have to deliver. You have to do quality work. I mean, if you don't do quality work, no one's going to keep you around and if anybody is getting any type of benefits from this program. It's the Indians, it's the Native Indians because they have specialized privileges that none of us even have. So I find that a lot of people are actually misinformed.

They don't know that there's all these resources out there to help you, assist you in growing a business.

I like to compare it to DBE and MBE because DBE and MBE programs, they call you into a meeting, you go into a workshop and it's conferences. They tell you the airports doing 50 million dollars. Listen, I have friends that do 50 million dollars. That's not impressive to me, alright? So a lot of people, they're just misinformed. The size of the market is 500 billion dollars. The simplified acquisition is 26 billion. Each particular small business certification on its own merit is 15 to 25 billion dollars, each individually, respectively. So don't let people tell you or discourage you from that. Sometimes what I find, why people are not doing it is they're small business and micro business.

SHOWING CONTROL OR POTENTIAL CONTROL

Now, again, I know that 90% of you guys out here are probably underneath the 10 employee threshold, but I'm talking about people that are a one person business. If you're a one person operation, it's going to be really difficult. I'm not going to say impossible because impossible's a strong word, but it's an uphill battle. The amount of paperwork and the footwork that's permitted to actually be successful, it'll eat you alive. It's ginormous to say the least. It's just so much paperwork.

I mean, my last contract, the documentation that I submitted to determine my eligibility was 1,500 pages. Again, the project was four million dollars, but it was 1,500 pages of work. Nevertheless and for one person to expect to put that together and then try to perform the contract, it's just a lot of work for a one person operation. You got to have a secretary or someone. You got to have someone that knows the business and someone that knows paperwork. That would be for me, at least the minimum requirements to actually getting started. Then the other thing is a new business in less than two years.

I'm not opposed to someone being a new business and wanting to get an 8a because there is the two year waiver rule. Where I find it's more important is you don't have any experience. You don't know how to run a business. You don't know how to run an organization. The waiver is a pain in the butt, but more importantly, you need to learn how to do business with the government. I'm not advocating that everyone and a mom needs to have 8a. I'm definitely not advocating that.

SHOWING CONTROL OR POTENTIAL CONTROL

So again, for all of you people out here that think 8a is the solution, it's the answer, it's going to solve your problems or cure your problems. It's not going to do that for you. If you have a business and you're successful or if you know someone who has a successful business and you want to help them grow to double in size, triple in size, tenfold, twentyfold, this is a great avenue, but if you are new to business and you've never done any type of products before, I don't encourage you to jump out here in these waters because they're deep and there are sharks out there. So I don't encourage you to jump in these waters and take on this headache. It'll be more of a headache than it's worth.

Then the last group of people that I found are the ones that are too successful.

They're not eligible and I have several friends of mine that are out here. They've been doing contracting for 15 years or 20 years and I mean, they just make too much money. They have businesses. They have a business. They've invested in real estate. They've got assets and they're generating lots of money. So those are the group that I find that are too successful and not eligible, but there is an avenue where we can come back in and I can show those people how to through this new mentor protege program, how they can start getting a piece of this action as well. Stay tuned. That's coming up in a little bit.

MODULE 11: FACT VERSUS FICTION

So let's start off with some of the myths. Need capital. Yes, you need money to run a business. Obviously, right? If you're a business, then you need money, but you don't need all the money. What I tell people is you need at least, you need some money and a lot of supply of credit. So some money will get you part of the way and then your supplier and your vendors, your credit with your vendors and suppliers, that's going to take you over the threshold, right? So you don't need all the capital, but you do need some creativity and if you haven't learned how to build up your supply of credit, that's where I'd start first.

People believe this is a government handout.

Again, it's not a government handout. The government rewards the companies who perform and if you perform, you will be greatly rewarded. Trust me on that. Like I said, the paperwork is enormous. The commitment of people and resources is vast. There's a ton of work involved. You're not going to go out here and make millions of dollars and not do any work, but the benefit is if you actually take the time and do the work, to do the upfront work that's possible, this is going to be an engine that no one can stop.

The government will call you with contracts

That's another myth that people think. They think, I get 8a. I'm going to sit back and I'm just going to wait and pick up the phone and people are going to say, come out and do this job, come out and do this job. Not going to happen. The government does call people with contracts, but only after you've proven yourself. Contracting officers, contracting agents, are some of the most risk adverse people out there. So they will gladly call you with contracts once they know that you can perform, but if I already am working with some of these, like I said, these Alaskan Native firms that are doing 100 million a year.

MODULE 11: FACT VERSUS FICTION

They've got bonding out the wazoo. They've got cash out the wazoo. They've got hundreds and hundreds of people, employees, staff, team members. They've got specialists in every which way category. Why would I call you little mom and pop company for contracts when these guys have everything I need and then I turn it over to them and I can go back to doing social media and hanging out? I mean, does it even make sense? It doesn't make sense to me and I don't see why you would think that would make sense. You wouldn't do it if you were them, so why would you expect them to do it for you? No one's going to give you any favors or give you any handouts.

So let's get into some of the truths about it. We talked about some of the downsides. Let's talk about stuff, some of the truth.

Six truths

I found for 8a contracting is you can work in teams and you can work in joint venture. Actually this is really, really, really super exciting. If you guys are doing something else, please stop what you're doing and pay attention. This is super exciting. I want you to get this one. I don't want you to miss this because this is how you really take off the business.

This is the all new, small mentor-protege program. The 8a has already had a mentorship protege program in place for many, many years. This is the new program that is now as of last year, 2016, they started accepting applications in October. This program now applies to all small business certifications. Not just 8a, but the reason why I put it in the 8a category because this video, which is done by the SBA was a very good explainer on what it means to be an all small mentor program. Listen to this.

SMALL MENTOR - PROTEGE PROGRAM

Mentors can help you grow your networks and challenge you in positive ways that will help your business develop. The key here is in order to meet the size standards required to get the set aside, both businesses in the joint venture need to be small. If either one of the businesses aren't considered small, they'll be working under the contract and the joint venture won't qualify to be in the small business set aside. This is because of the SBA's rules related to affiliation, that prohibit non-small businesses from entering into a joint venture to bid on small business set asides.

One of the most tangible benefits of the All Small MPP is the ability to receive an exclusion from affiliation. This allows a small business to leverage the experience and relationships of a mature company. So what is an exclusion from affiliation? To better understand this concept and the benefit, it's important to understand how federal set aside contracts are bid on and awarded. When a federal set aside contract is made available, qualifying businesses in this case, small businesses are able to bid on the contract.

If the small business lacks the capacity required in the contract, they can enter a joint venture with another small business to supplement that capacity and bid on the contract together. With an exclusion from affiliation, a qualifying small business can enter a joint venture agreement with a business of any size. That is, if SBA approves your mentor protege agreement, you and your mentor may have joint venture for any small business set aside that you, the protege qualify for regardless of your mentor size.

SMALL MENTOR - PROTEGE PROGRAM

Alright. Did you guys hear that? It says that you can qualify as a mentor, regardless of their size and actually joint venture with your small business and to pursue contracts. They can pursue based on your small business certification. Which is remarkable. Alright, going back to the truths on 8a contracting, by the way guys. At the very end, we're going to talk about how to make that work for you and I'm going to explain it in more depth, that particular program. I'm really excited about it. In fact, I just wrote a couple articles, one on LinkedIn and one on my website, discussing how that can take people and just help them sort their businesses.

Minimal capital needed

You know, it's funny like I said, I'm in construction, I do construction and I've learned is that when you're the prime contractor, then actually the subcontractors fund your jobs. If you're the prime, like I said, if you've got some minimal capital, you get started. You get your guys out on the field, the subcontractors are going to be working underneath you and performing the actual work, because again, we're talking about you guys are going to pursue large contracts. I know you are because that's what I'm encouraging you to do.

So when you get out there and you get your contract that's two or three million dollars, you're going to have eight different teams of people working on it. So those people are going to have to perform a certain percent of the work before they can get paid. Well, once they perform a certain percent of that work and it's inspected and it's approved, the government will then pay you and then you in turn pay them. That's why I said you don't need all the capital because your vendors and your suppliers are going to be the ones putting up the equipment, the materials, the people and stuff for the majority of which you need to get started. Then once you build, you then turn around and pay them.

SMALL MENTOR - PROTEGE PROGRAM

Call you with opportunities to negotiate contracts

Like I said, once you become the incumbent, or once you've already worked and you've started establishing yourself and you have a proven track record, which doesn't take long, folks. Like I said, in three years time, we did over 6 million dollars. It doesn't take long. I think I could have probably did it in half the time if I had someone like myself on the other end teaching me these things and teaching me certain tactics and tricks, but I didn't. I had to learn the hard way. So I had to go through and learn through the school of hard knocks and just trial and error, but now you're fortunate enough. You got people like me out here that are providing you with resources and tools and courses that can teach you how to cut that time in half or cut it by 20%.

So once you have already established your record, your relationships, the yeah, they're going to call you with opportunities to negotiate contracts. I mean, we got calls all the time to sit down and negotiate contracts with the basis. In fact, it's funny, I remember at the SBA office, one of the SBA reps was telling me that they had more contracts coming in than they had people able to actually assign it to because they didn't have enough qualified people that they trusted to be able to give them contracts. We're talking about millions of millions of dollars. We're not talking about thousands of dollars because when we deal in government, we deal, the numbers are in the millions.

There will be an SBA counselor assigned to you

Yes, that is true. Immediately, once you become 8a certified, you're going to get your own SBA counselor. That doesn't happen in any of the other programs out there. What the SBA counselor does for you is that person will be your advocate when you're dealing with any of these federal agencies. They will speak on your behalf. They'll write letters on your behalf. They will be your voice out there helping you to basically, saying that you're a good company and they'll be a liaison between you and the agency and help support you in anything that you need.

SMALL MENTOR - PROTEGE PROGRAM

There are many set aside opportunities

Yes, there are tons out there. Like I said, because of the Alaskan Native Indian corporations and because of the history of the 8a program, there is so much more 8a potential programs and projects out there. There's so many more large businesses that are 8a. So when the government is looking at setting aside or we're putting together an [inaudible 01:14:59] or a [inaudible 01:15:00] or any of these indefinite delivery quantity contracts, multiple year contracts, it's very easy if they want to do small business to set aside to 8a because they have the companies that are massive that have the scale and capacity to be able to execute and perform on them. So more so than HUBzone or women-owned or veteran-owned

You can write your own specifications

This is a little caveat that I threw in here because of my experience. Like I said, the contracting officer representative. Their job is to, everyone on these various facilities come to them with their problems. If they need pens, if they need paper, if they need toilets, if they need a bathroom, if they need a new building and so that person is not a specialist in any one category. So how is it that they are given the job and responsibility to put together these documentation to procure projects from people like you and I?

Well, a lot of times what you'll find is they outsource. If it's construction, they'll outsource to the Army Corps of Engineers. If it's buildings, they outsource to GSA and then there's some other entities within the agency that government agencies will outsource to other agencies. Well, that costs money and if you don't have a lot of money and/or you don't have a lot of time or something is mission critical, then you want to get it done expediently. So I've had instances where we went in and the contract officer, representative asked us to put together some specifications to help get this job posted out. Then we put together specifications for the job and from that, we were able to negotiate and bid on the project just like everyone else, but we wrote the specifications.

SUCCESS STORIES FROM REAL PEOPLE

So that's fun stuff. Let's talk about some of the success stories from real people. That's me on the left hand side. I was at Machu Pichu. It's about two and a half hours from Cusco, Peru. At the top side, I was in Havana Cuba looking at some of the old cars. That was a great trip. It was actually, that was my second time in Havana, Cuba this year. At the bottom right corner, that's me, we're over in Peru. I'm sorry. I was in San Jose, Costa Rica. We're about two hours outside of San Jose at one of the volcanoes. That was our tour guide and then on the left is my son.

Here on this slide, you'll see the top was the 2017 award winner. That's a friend of mine. His company, he won the 2017 Small Business of the Year Award for the state of Florida and he's a runner up for the National Award. That's us on the top right hand size over in [inaudible 01:17:40] Beach. His company, actually I want to show you this. They were one of 24 small businesses on this GSA BMO and it's a multiple award contract. [inaudible 01:17:53] and the vehicle caps off at 15 billion dollar ceilings. So congratulations to him.

In the bottom right corner is my friend. He just bought that Lamborghini this year. So we're out here and we're working this market. We're doing this. I want to share this with you guys because I want you guys to help us in reaching our goal.

Alright. So that was that video. I want to encourage you guys to help join us in reaching our goal of helping 200 companies get to five million in revenue. Looks like YouTube didn't go away. So let me turn that off. Sorry about that.

SUCCESS STORIES FROM REAL PEOPLE

This is a quote from Jim Rohn. Again, he's one of my mentors. He says, "I used to say, I sure hope things will change. Then I learned that the only way things are going to change for me is when I change." I say that to say are you guys going to change? Are you going to do anything different? Well, I sure hope so and what I want to do today is this. I went ahead and I showed you everything there is to learn about the various small business programs.

Like I said, we've got a ton of videos out there on YouTube already, but in talking to some of my subscribers, I learned that sometimes some people, for them, time is more valuable than money. If you want to get started with no excuses, if you know yourself and you know you're a procrastinator and you won't get it done, then I want to be there to support you and help you through the process. I want to be able to extend to you and offer for people who say to themselves, you don't want the Home Depot approach. You don't want the do-it-yourself approach. You want someone to help guide you in this process and you want a team of people to ensure that it's going to be done correctly and properly.

Head over to our website, ScoreContracts.com/resources and we're offering a webinar special today in which we can actually offer you a paid service and we can help you with this application and also HUBzone, service-disabled and any of the women-owned small business application as well. We want to be your ally in joining this journey in terms of taking the plunge into the federal arena. I want to make sure that you have everything that you need, that you get it done. I don't want you to take this, all this information and all the time that you've spent with here me today and then go back to your regular life tomorrow and not do anything about it.

SUCCESS STORIES FROM REAL PEOPLE

So let me give you four reasons why I think you should start today and not tomorrow.

Reason number one

The Miami SBA office in 2016 did 1.5 billion dollars in 8a contracts and another 400+ million in HUBzone contracts. That's the Miami SBA district alone.

Reason number two

Private industry is booming. Do you know what that means? When the private industry is booming, that means the lack, even though you have contracts that are certified or qualified or eligible to be in the government marketplace, they tend to go towards a private industry because they don't want to go through the hoops and the hurdles and the hassles of dealing with the government. So they go towards the private industry.

That leaves a huge open potential for all of us out here who want to work in the government marketplace. It just opens up the gap even further. So if there's, you're talking about five or ten percent of the people moving away from that market, that creates a whole lot of opportunity for us.

Reason number three

The 80/20 rule and I put this together, last minute slide was I looked at, and you know in every industry there's the 80/20 rule, right? 80% of all the work goes to 20% of the company.

So if we look at 8a and we see there's an average of 7,000 firms and the dollar value threshold is 25 billion, 80% of 25 billion is 20 billion and then 20% of the 7,000 firms is 1,400 firms, that nets an average 14 million, 285,000 per firm.

That's money. That's opportunity, right? Would 14 million dollars a year in sales change your life and the life of your family and the people around you that you love and care for? I would think so.

SUCCESS STORIES FROM REAL PEOPLE

Reason number four

Congress passed in 2016 the National Defense Act, which is a comprehensive defense spending bill and all that means in a nutshell is they just signed on to spend a whole lot more money and dump more money into these agencies and to these programs and systems. So it's not going away. It's not going to decrease. If anything, the money in the pot's going to increase.

Reason number five

The All New Mentor-Protege program is here and like I said, it was just implemented last year, 2016. They've only been taking applications as far as October. So we're not even one year yet into the application process, but let me explain to you how it works. I told you I would. I promised you I would. Let me show you how this thing works.

GOVERNMENT MARKET PLACE

Alright, let's say you're Company A and you do about 100,000 in revenues, you're looking at a contract for 20 million because Eric said, "Go after the biggest, baddest contract you can find." So you said, "Eric, I'm going to look at this contract that's 20 million dollars, but I only do 100,000 in revenues." Well, a company that you know, that you're familiar with, that you have experience with, that you're referred to by someone in your network of friends, family, the people said that they know someone whose company does 75 million in revenues, but because they do so much, they can't participate in these small business contracts. So what do you do?

If you, Company A and Company B form a joint venture, it's a no go, but under the new Mentor-Protege program, if you form a join venture plus the Mentor=Protege program, now Company A plus Company B joint venture is considered a small business and they can bid on any projects. Whatever certification that you have, they can bid on any projects with you as a joint venture of any size and value you that guys qualify for. So essentially you inherit all their relationships, their connections. You inherit all of their history. So you can use that as leverage to pursue this 20 million dollar plus opportunity.

So in closing, we here at ScoreContracts, we want to be your strategic partner. We're looking to create a mastermind group in a collaborative forum. Again, if you want any help, if you have any questions, go to ScoreContracts.com/resource. Partner with us in this and as a final word, I want to tell you that if you believe that this is not for you, that's okay. Like I said before, if you go back and you look at where I did six million dollars in three years, I never had a certification. As of today, 2017, I still don't have a certification. I am attempting to give a certification, but as of today, I am not certified and my company continues to do millions of dollars in business.

GOVERNMENT MARKET PLACE

As we speak, I'm working on contracts to the tune of four million and five million dollars. So there are another pathway to success. In this course that I created, it's called GovCon, like giants, course where we teach you how to win contracts like. It takes you through 12 day steps of winning contracts without having a certification.

This is also a good course that I recommend for anybody who's looking to become either a subcontractor and or a consultant to help their friends or help people that they know who have businesses getting to the government arena. So I want to encourage you to go over to that website and click on GovCon Giants course register and sign up for today and start learning about how you can start winning contract without having an certifications.

As always, thank you guys so much for watching. Thank you for all the people who stayed to the end. God bless you, we love you. Thanks so much for your support. Continue watching our videos. We hope that you got a lot out of this today and if you have any questions, info@ScoreContracts.com. All my contact information will be below, wherever you download this video from.

Thank you so much.
Have a great day.